MARKETBEAT
PHOENIX
MULTIFAMILY Q1 2025

CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
7.1% Vacancy Rate	▲	▲
2.3K Net Absorption, units	▼	—
$1,606 Effective Rent, PSF	▼	—

(Overall, All Property Classes)

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	—	▲
3.5% Phoenix Unemployment Rate	▲	▲
2.5% Phoenix Household Growth Rate	▲	▲

Source: BLS

ECONOMY: PHOENIX OUTPERFORMS NATIONAL AVERAGES

In Q1 2025, the Phoenix Metro recorded an employment level of 2.5 million jobs while the unemployment rate rose significantly from 3.0% in Q1 2024 to 3.5% to start 2025. Phoenix's unemployment rate remained well below the national average of 4.1% and was the second-lowest rate of any major city with employment exceeding 2 million jobs. The metro area continued to experience strong growth, as the number of households increased by 2.5% year-over-year (YOY) to 2.0 million. Strong wage growth drew job seekers back into the labor market, as the median household income reached $90,600, up 4.5% YOY. In comparison, the national average salary rose 3.5% YOY to $81,700. Phoenix outperformed national figures due to its robust job market, steady population growth, and competitive wages, which attracted both businesses and workers to the region.

SUPPLY & DEMAND: MULTIFAMILY DEMAND REMAINS SOLID

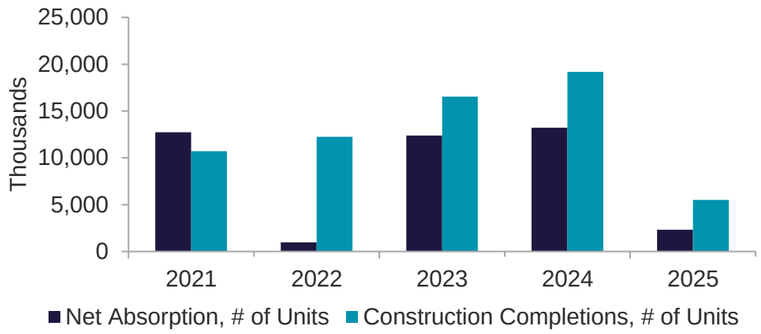
The Phoenix Metro multifamily market sustained strong levels of rental demand in the first quarter. While vacancy ticked up from 7.0% in Q4 2024 to 7.1% as of March 2025, the increase was modest given the rapid pace of new supply additions. Overall rental demand remains positive for the ninth consecutive quarter, with a net of 2,334 units absorbed. The Chandler/Gilbert submarket recorded the largest net gains in absorption (1,055 units) in the first quarter.

Multifamily deliveries continued to accelerate in Q1 2025, with roughly 5,500 units completed across 22 properties. New supply was widespread, with the highest number delivered across the Northwest Valley (876 units), Mesa/Gilbert (747 units) and Northeast Valley (705 units) submarkets. In contrast, no new inventory additions occurred in the East Phoenix and Scottsdale submarkets.

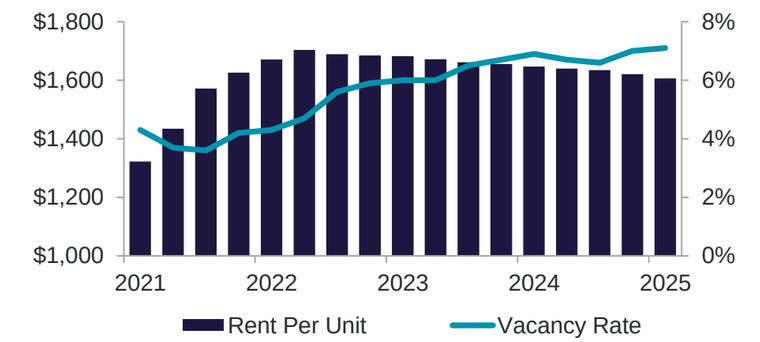
PRICING: AVERAGE RENTS CONTINUE TO DECLINE

Overall rental rates adjusted downward for the eleventh consecutive quarter in Metro Phoenix. The average effective rent declined by 2.2% year-over-year, from $1,641 per unit in Q1 2024, to $1,606 per unit in Q1 2025. Nevertheless, the market's benchmark remains still 32% higher than the year-end 2019 level. Concessions are also starting to become less common, with 13% of properties currently offering rent discounts as of March, down from 17% a year ago.

DEMAND / DELIVERIES



OVERALL VACANCY & EFFECTIVE RENT

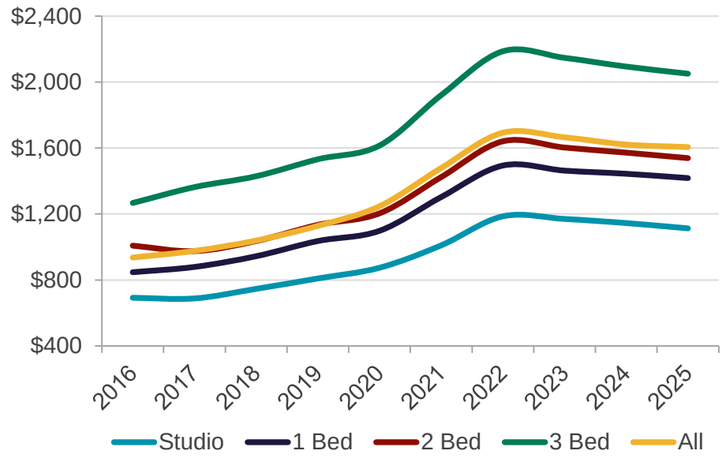


Source: Yardi Matrix

© 2025 Cushman & Wakefield

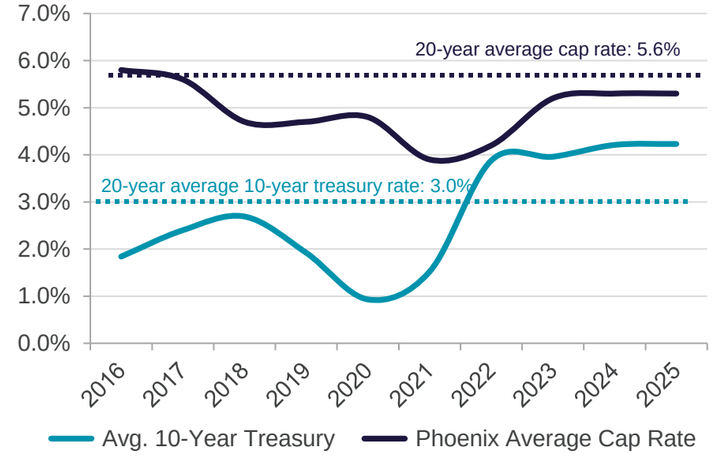
AVERAGE RENT PER UNIT HISTORY (1)

ALL UNIT TYPES HAVE RECORDED RATE REDUCTIONS SINCE 2023. ON AVERAGE, PRICES HAVE DECREASED 3.5% IN TWO YEARS.



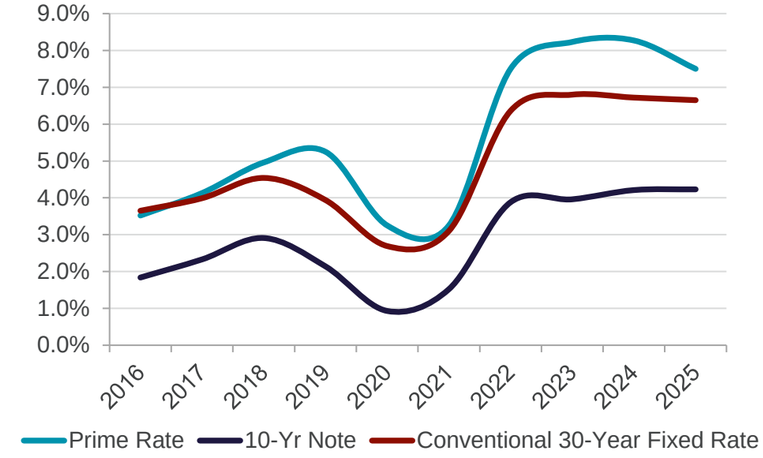
AVERAGE CAP RATE (2)

THE 10-YEAR U.S. TREASURY RATE IS ABOVE THE HISTORICAL AVERAGE OF 3.0% AND THE METRO PHOENIX CAP RATE IS BELOW THE HISTORICAL AVERAGE OF 5.6%



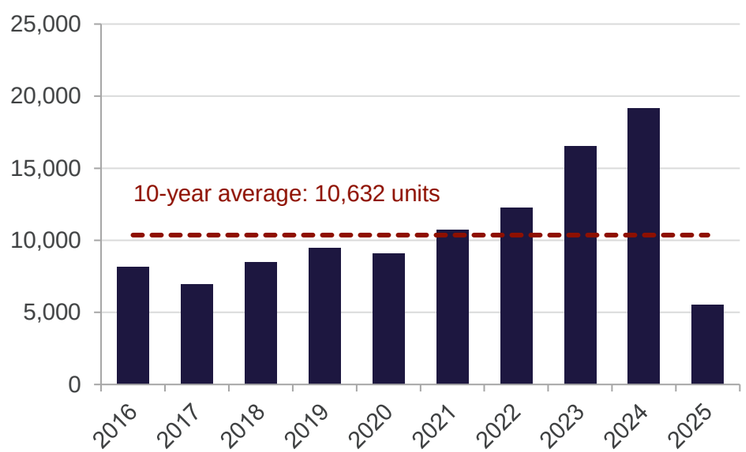
INTEREST RATES (3)

FEDERAL FUNDS TARGET RATE FORECASTED TO EASE BY 50 BASIS POINTS THROUGHOUT 2025



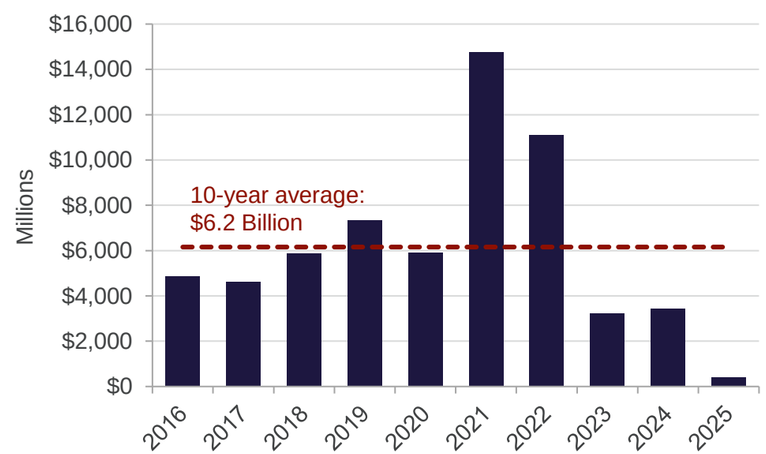
NEW INVENTORY (4)

TOTAL NUMBER OF NEW INVENTORY UNITS COMPLETED IN Q1 2025 IS 52% OF THE 10-YEAR ANNUAL AVERAGE OF 10,632 UNITS



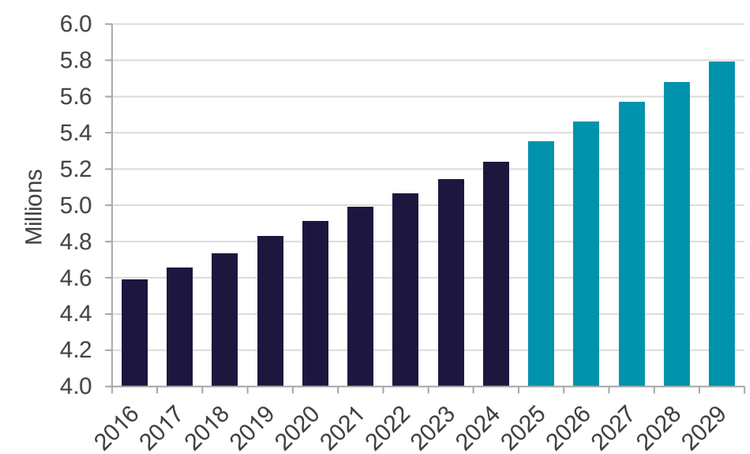
SALES TRANSACTION VOLUME (5)

TOTAL TRANSACTION VOLUME OF 8 PROPERTIES IN Q1 2025 IS 7% OF THE 10-YEAR ANNUAL AVERAGE OF $6.2 BILLION



POPULATION (6)

POPULATION IS PROJECTED TO GROW SIGNIFICANTLY THROUGH 2029

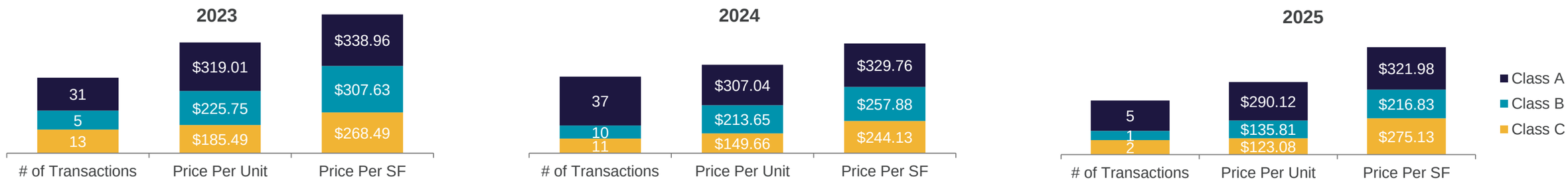


(1) Yardi Matrix, Cushman & Wakefield
(2) Yardi Matrix, Federal Reserve Board, Cushman & Wakefield
(3) Federal Reserve Board, Wells Fargo
(4) Yardi Matrix
(5) Yardi Matrix
(6) Moody's & U.S. Census Bureau

© 2025 Cushman & Wakefield

MARKET STATISTICS

SUBMARKET	INVENTORY (UNITS)	YTD DELIVERIES (UNITS)	YTD % INVENTORY GROWTH	UNDER CNSTR (UNITS)	YTD NET ABSORPTION (UNITS)	VACANCY RATE	YOY VACANCY RATE CHANGE (BPS)	AVG EFFECTIVE RENT / UNIT	YOY % EFFECTIVE RENT GROWTH
Ahwatukee	13,390	610	8.3%	632	5	6.7%	-10	$1,618	0.3%
Central Phoenix	34,009	447	2.1%	4,842	171	7.6%	60	$1,582	-2.6%
Chandler/Queen Creek	41,434	590	1.6%	5,342	617	6.2%	30	$1,730	-1.9%
East Phoenix	19,204	-	0.0%	320	31	6.9%	-40	$1,504	-1.0%
Glendale/West Valley	29,764	664	3.4%	7,136	-46	7.9%	-10	$1,480	-0.8%
Mesa/Gilbert	42,638	747	2.4%	3,748	399	7.1%	10	$1,484	0.1%
Northeast Valley	33,665	705	2.4%	5,594	599	6.3%	50	$1,752	-2.4%
Northwest Valley	41,704	876	2.1%	2,902	205	7.8%	60	$1,486	-2.1%
Scottsdale	27,825	-	0.2%	1,544	18	5.7%	20	$1,965	-2.6%
Tempe	37,679	187	0.8%	3,150	287	6.4%	-30	$1,808	-4.8%
West Phoenix	42,323	676	2.5%	4,082	48	8.6%	10	$1,344	-2.0%
MARKET	**363,635**	**5,502**	**2.1%**	**39,292**	**2,334**	**7.1%**	**20**	**$1,606**	**-2.2%**



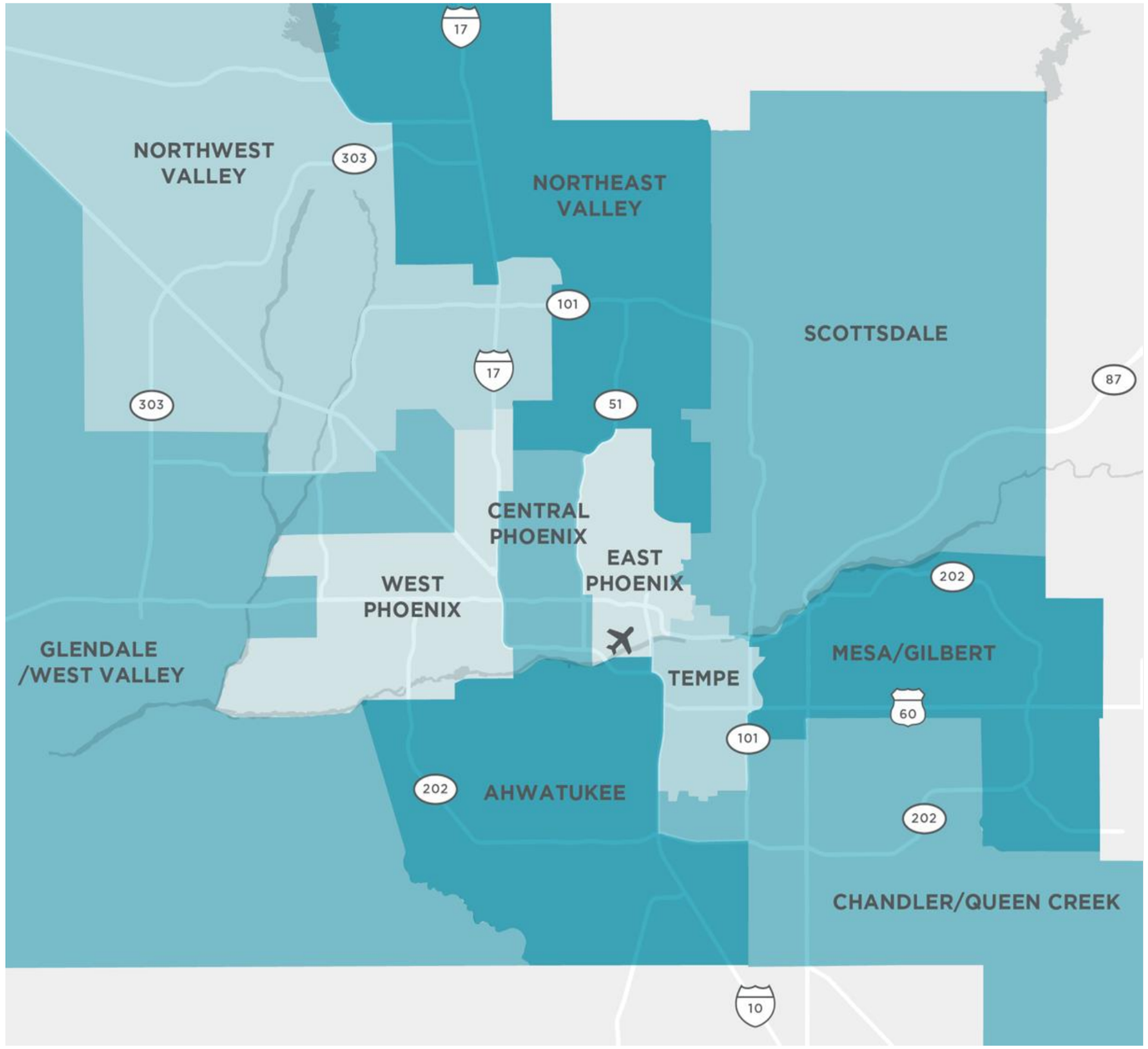
KEY SALE TRANSACTIONS Q1 2025

PROPERTY	SUBMARKET	SELLER/BUYER	AVERAGE SF	PRICE / $ PSF
Spire Deer Valley	Northeast Valley	Rockpoint / Goodman Real Estate Inc.	1,004	$131.1M / $242
IMT Desert Ridge	Northeast Valley	CWS Capital Partners / IMT Residential	911	$126.0M / $214
Arches at Hidden Creek	Chandler/Queen Creek	Blackstone Inc. / Brookfield Asset Management, Inc.	854	$95.5M / $207
Amara Apartments	East Phoenix	Elisa Zhang / DGE Investments LLC	816	$48.0M / $213
Boulder Creek Apartments	East Phoenix	Pinnacle Holding Inc. / MC Companies	626	$20.1M / $166
North Edge Apartments	Northwest Valley	Michael Anthony Garcia / Goodegg Investments	708	$13.3M / $293
Venture on Colter	West Phoenix	Calmwater Capital / Neighborhood Ventures	379	$13.0M / $103
Venture on 52nd	East Phoenix	Blueprint Capital / Neighborhood Ventures	520	$11.0M / $275

Source: Yardi Matrix

© 2025 Cushman & Wakefield

MULTIFAMILY SUBMARKETS



JOSH CRAFT
Senior Research Analyst
Tel: +1 602 468 8506
joshua.craft@cushwake.com

JEFF COOLEDGE
Senior Research Manager
Tel: +1 602 224 4448
jeffrey.cooledge@cushwake.com

ABOUT CUSHMAN & WAKEFIELD

Cushman & Wakefield (NYSE: CWK) is a leading global commercial real estate services firm for property owners and occupiers with approximately 52,000 employees in nearly 400 offices and 60 countries. In 2024, the firm reported revenue of $9.4 billion across its core service lines of Services, Leasing, Capital markets, and Valuation and other. Built around the belief that Better never settles, the firm receives numerous industry and business accolades for its award-winning culture. For additional information, visit www.cushmanwakefield.com.

©2025 Cushman & Wakefield. All rights reserved. The information contained within this report is gathered from multiple sources believed to be reliable, including reports commissioned by Cushman & Wakefield (“CWK”). This report is for informational purposes only and may contain errors or omissions; the report is presented without any warranty or representations as to its accuracy.

Nothing in this report should be construed as an indicator of the future performance of CWK’s securities. You should not purchase or sell securities—of CWK or any other company—based on the views herein. CWK disclaims all liability for securities purchased or sold based on information herein, and by viewing this report, you waive all claims against CWK as well as against CWK’s affiliates, officers, directors, employees, agents, advisers and representatives arising out of the accuracy, completeness, adequacy or your use of the information herein.